

The complete money breakdown

Pricing · outgoings · AI cost · per-tier economics · conversion · tax & real take-home — modelled on a £44,000 salary (sole trader, side income).

+£42

profit / Plus user / yr

~1.2%

break-even conversion

£10.5k

take-home at 10k users / 5%

How to read this

Every figure is computed from one model: per-user AI cost, free-user drag, paid infrastructure, then income tax + NI stacked on your £44k salary. All amounts per year.

1 · Pricing & fees

Item	Value
Plus subscription	£3.99 / month (£47.88 / yr)
Stripe fee (UK card)	1.5% + 20p (~£3.12 / yr per sub)
Net revenue per Plus user	£44.76 / yr
Free plan	£0 — funded by Plus subscribers

2 · The two tiers

Tier	Photo scans	Chat Q's	Vision model
Free	10 / mo	30 / mo	Haiku 4.5
Plus	60 / mo	200 / mo	Sonnet 4.6

3 · What each user costs you

i.e. what you put back into the app, per user, per year

Tier	Revenue	AI cost	Stripe	Net to you
Free user	£0	-£0.50	£0	-£0.50
free, maxing caps	£0	-£2.58	£0	-£2.58
Plus user	£48	-£2.40	-£3.12	£42
Plus, maxing caps	£48	-£22	-£3.12	£23

Free users are pure cost (your marketing spend). Plus users net ~£42/yr before fixed infra & tax — and physically can't cost more than they pay.

THE RULE OF THUMB

Put back ~£0.50/yr into each free user and ~£5.50/yr into each Plus user (AI + Stripe).
Everything above that on a Plus sub is gross margin.

4 · AI usage — cost per action

Operation	Model	~ Tokens	Cost
Fridge photo scan (Plus)	Sonnet 4.6	2,500	1.1p
Fridge photo scan (Free)	Haiku 4.5	2,500	0.35p
Receipt scan	Haiku 4.5	2,500	0.4p
Chat / meal idea	Haiku 4.5	4,300	0.6p
Recipe walkthrough	Haiku 4.5	1,500	0.5p

Chat cost is driven by the inventory sent as context (~20 tokens/item).

5 · Fixed outgoings (the 'paid bracket')

Service	What for	Monthly	Annual
Supabase Pro	Database, auth, storage	~£20	£240
Vercel Pro	Hosting + serverless API	~£16	£192
Resend	Service & reminder emails	~£16	£192
Domain	whatsinmyfridge.co.uk	~£1	£12
Total fixed		~£53	~£636

Free tiers actually cover you to ~50k users — at small scale this can be ~£0.

6 · Total monthly outgoings by scale (at 5%)

Scale	AI / mo	Stripe / mo	Infra / mo	Total / mo
1,000 users	£50	£13	£37	£100
5,000 users	£248	£65	£53	£366
10,000 users	£496	£130	£53	£679
20,000 users	£992	£260	£53	£1,305

7 • Deductions — what lowers your tax

- All fixed infra (Supabase, Vercel, Resend, domain)
- Anthropic AI spend & Stripe fees
- Use of home as office — £6/week simplified (£312/yr)
- Equipment — laptop, phone (Annual Investment Allowance)
- Phone & internet — business-use proportion
- Software subscriptions used for the app
- Marketing & advertising spend
- Accountant's fees

8 • What % of users must pay to profit

Conversion	Margin / user / yr	Users to cover infra (£636)
1.2%	~£0.00	break-even — below this you lose money at any scale
2%	£0.36	~1,780
3%	£0.79	~810
5%	£1.64	~390
8%	£2.93	~220
10%	£3.79	~170

Margin/user already nets the free-user AI drag. Above ~1.2% conversion you profit on variable costs; the column shows how many total users then cover fixed infra.

9 • Conversion compared — at 10,000 users

Conv.	Paying	Revenue	Costs	Profit	Take-home
2%	200	£9,576	£6,640	£2,936	£2,349
3%	300	£14,364	£7,142	£7,222	£5,587
5%	500	£23,940	£8,146	£15,794	£10,537
8%	800	£38,304	£9,652	£28,652	£17,480
10%	1,000	£47,880	£10,656	£37,224	£22,109

10 · Take-home as you grow

At 5% conversion · all costs and tax deducted

Users	Paying	Revenue	Costs	Profit	Tax+NI	Take-home
1,000	50	£2,394	£1,195	£1,199	£240	£959
2,000	100	£4,788	£1,946	£2,842	£568	£2,274
5,000	250	£11,970	£4,391	£7,579	£1,778	£5,801
10,000	500	£23,940	£8,146	£15,794	£5,257	£10,537
20,000	1,000	£47,880	£15,656	£32,224	£12,815	£19,409
40,000	2,000	£95,760	£30,676	£65,084	£29,155	£35,929

11 · Take-home by users x conversion

Users	2%	5%	8%	10%
2,000	£216	£2,274	£4,331	£5,531
5,000	£920	£5,801	£9,573	£11,887
10,000	£2,349	£10,537	£17,480	£22,109
20,000	£5,159	£19,409	£33,215	£39,729
40,000	£9,380	£35,929	£60,780	£78,953

READING THE TABLES

‘Costs’ already includes free-user AI, paid AI, Stripe and fixed infra.
‘Take-home’ is what lands in your pocket after income tax + NI on top of your salary.
Lifting conversion 5% to 8% at 10k users moves take-home from £10.5k to £17.5k.

12 · Your tax on a £44,000 salary

Band / charge	Applies to app profit
20% income tax	first £6,270 of profit (your headroom to £50,270)
40% income tax	profit above £6,270
Class 4 NI — 6%	profit above £12,570 (2% above £50,270)
Class 2 NI	£0 — not required since April 2024
60% effective trap	total income £100k–£125k (allowance taper)

WORKED EXAMPLE — 10,000 USERS @ 5%

Net profit £15,794 – income tax £5,064 – Class 4 NI £193

= take-home £10,537 / yr (~£878 / month)

After ~£6,270 profit (~150 paying users) every extra £1 is taxed at 46%.

13 · Admin & the bottom line

- Register for Self Assessment once profit tops £1,000/yr.
- Set aside ~30% of profit for the tax bill (paid in a lump, not at source).
- Keep receipts for every expense on page 4 — they all reduce tax.
- Your day-job PAYE & NI are separate and unaffected.
- Biggest swing factor: free-user AI cost — refine from real Anthropic Usage.

The sweet spot, keeping your job

10,000 users at 5% = ~£10,500/yr take-home (~£880/mo) — meaningful side income, once-a-year admin, and comfortably below the £100k tax trap.